

Chart Patterns

INTERMEDIATE PRACTICE WORKSHEET

Grab a real chart (any free charting site works) and a stock or index you're curious about. Look for a head & shoulders, double top, or triangle on its daily or weekly chart. There's no wrong answer, the goal is just practice.

Section 1 - Find a Candidate Pattern

Which stock or index are you looking at, and what timeframe? Which of the three patterns (head & shoulders, double top, triangle) does it most resemble?

Section 2 - Mark the Key Levels

Write down the neckline (or trend lines, for a triangle) and, if it's a head & shoulders or double top, the price of the head or the two tops.

Section 3 - Calculate the Measured Move

Using the neckline and head price from Section 2, calculate the measured-move target: [head - neckline], projected from the neckline in the breakout direction.

Section 4 - Check for Confirmation

Has the pattern actually broken its key line (neckline, or one side of the triangle) with a decisive close, or is it still forming? Has volume picked up on the break?

Section 5 - Reflection

Looking at just this one pattern, what would you still need to know before trusting it as a signal?